

Kalathil Hamsakoya vs Rajashekar Palakkavu Kalam And Another on 14 August, 2025

CrL.R.P.No.1021 of 2018

1

2025:KER:62225

IN THE HIGH COURT OF KERALA AT ERNAKULAM

PRESENT

THE HONOURABLE MRS. JUSTICE M.B. SNEHALATHA

THURSDAY, THE 14TH DAY OF AUGUST 2025 / 23RD SRAVANA, 1947

CRL.REV.PET NO. 1021 OF 2018

AGAINST THE JUDGMENT IN CrL.A NO.89 OF 2017 OF
ADDITIONAL SESSIONS COURT, KOZHIKODE ARISING OUT OF THE
JUDGMENT IN ST NO.1515 OF 2016 OF SPECIAL COURT OF JUDICIAL
FIRST CLASS MAGISTRATE (NI ACT CASES), KOZHIKODE

REVISION PETITIONER/APELLANT/ACCUSED:

KALATHIL HAMSAKOYA, AGED 67 YEARS
S/O KAIDAPOYIL HASAN HAJI, RESIDING AT SHAS,
KACHERIVALAPPIL, THALKULATHUR P.O.
KOZHIKODE DISTRICT.

BY ADV SRI.ADITHYA RAJEEV

RESPONDENTS/RESPONDENTS/COMPLAINANT & STATE:

- 1 RAJASHEKAR PALAKKAVU KALAM, AGED 56 YEARS
S/O.E.SEKHARAKIDAVU,
4A, EXPRESS TOWER, P.V.SWAMI ROAD, CHALAPPURAM,
CALICUT, REP. BY POWER OF ATTORNEY HOLDER
HARIGOVINDAN, S/O E.SEKHARA KIDAVU, 4A, EXPRESS
TOWER, P.V.SAMI ROAD, CHALAPPURAM , CALICUT 673002.
- 2 STATE OF KERALA
REPRESENTED BY THE PUBLIC PROSECUTOR,
HIGH COURT OF KERALA, ERNAKULAM 682031.
BY ADVS.
SRI.B.PREMNATH (E)
SMT.MAYA M.N - PUBLIC PROSECUTOR

THIS CRIMINAL REVISION PETITION HAVING COME UP FOR
HEARING ON 8.8.2025, THE COURT ON 14.08.2025 DELIVERED THE
FOLLOWING:

CrL.R.P.No.1021 of 2018

2

2025:KER:62225

M.B.SNEHALATHA, J

CrL.R.P.No.1021 of 2018

Dated this the 14th day of August, 2025

ORDER

The concurrent verdict of conviction and order of sentence against the revision petitioner by the trial court and appellate court for the offence punishable under Section 138 of the Negotiable Instruments Act, 1881 (hereinafter referred to as 'N.I Act') is under challenge in this revision petition.

2. The complaint was instructed by the complainant alleging that Ext.P3 cheque for 39 lakhs dated 15.1.2013 issued by the accused in discharge of the liability due to the complainant was returned dishonoured due to insufficient funds in the account of the accused and in spite of receipt of Ext.P5 notice, the accused failed to pay the amount covered by Ext.P3 cheque and thereby committed the offence punishable under Section 138 of N.I.Act.

3. Revision petitioner/accused pleaded not guilty to the accusation and faced trial. He contended that there was no legally Crl.R.P.No.1021 of 2018 3 2025:KER:62225 enforceable debt and he has not executed Ext.P3 cheque to the complainant and no amount was due to the complainant.

4. After analysing the evidence, both oral and documentary, the learned Magistrate found the accused guilty for the offence under Section 138 of N.I.Act and he was sentenced to pay a fine of 39 lakhs. In default of payment of fine to undergo simple imprisonment for a period of six months. It was further directed that the fine amount if realised, shall be given to the complainant as compensation under Section 357(1)(b) Cr.P.C. The appeal filed by the accused as Crl.A No.89/2017 was dismissed by the Court of Sessions, Kozhikode, confirming the conviction and sentence passed by the trial court.

5. The accused assails the concurrent finding of conviction and sentence on the ground that the complainant failed to prove that there was any legally enforceable debt due to him; that the complainant failed to prove the execution of Ext.P3 cheque by the accused. It was contended that PW1 who is the power of attorney holder of the complainant has no direct knowledge regarding the transaction allegedly had between the accused and the complainant. Further, it was contended that though the Crl.R.P.No.1021 of 2018 4 2025:KER:62225 accused was able to raise probable defence creating doubt about the existence of legally enforceable debt, the trial court and the appellate court failed to appreciate the said fact.

6. Per contra, the learned counsel for the complainant argued that the trial court and the appellate court have analysed the evidence in its correct perspective and there are absolutely no ground to unsettle the finding of conviction and sentence against the accused for the offence under Section 138 of N.I.Act.

7. In view of the rival submissions, let us see whether there are any grounds to interfere with the impugned judgment of conviction and order of sentence.

8. PW1 is the power of attorney holder of the complainant and he is the brother of the complainant. The categorical version of PW1 is that he has direct knowledge about the transaction between the complainant and the accused; that the accused had collected huge amounts from the complainant on various occasions promising to induct the complainant as a partner in the business run by the accused. In the said transaction, an amount of 50 lakhs with interest was due from the accused. Upon negotiation between the accused and the complainant, accused agreed to CrI.R.P.No.1021 of 2018 5 2025:KER:62225 return 40 lakhs to the complainant on or before 31.12.2011 in full and final satisfaction of the amount due and accordingly accused issued a cheque dated 25.12.2011 to the complainant for an amount of 40 lakhs drawn on HDFC Bank Ltd. Nadakkavu Branch. Ext.P8 is the memorandum of understanding executed on 28.7.2011 between the complainant and the accused. Though the complainant presented the said cheque for 40 lakhs for encashment, it was returned dishonoured due to insufficient funds in the account of the accused. Accordingly, complainant lodged Ext.P9 complaint against the accused under Section 138 of N.I.Act before the Judicial First Class Magistrate Court IV, Kozhikode. PW1 has further testified that during the pendency of the said case, accused approached the complainant and agreed to settle the matter and the accused agreed to pay 41 lakhs and issued two cheques; one for 2 lakhs and another for 39 lakhs. Ext.P2 agreement dated 31.8.2012 was also executed incorporating the terms and conditions of the settlement arrived at and in view of the settlement thus arrived at Ext.P9 complaint was not proceeded with. Ext.P10 is the certified copy of the order in the said C.M.P. No.5036/2012. Ext.P3 is the cheque dated 15.1.2013 for 39 CrI.R.P.No.1021 of 2018 6 2025:KER:62225 lakhs drawn on HDFC Bank Ltd., Nadakkavu Branch issued by the accused.

9. The specific version of PW1 is that upon presentation of Ext.P3 cheque issued by the accused before the bank for encashment, it was returned dishonoured stating the reason 'funds insufficient'. Ext.P4 is the memo issued from the bank. Upon receipt of Ext.P4 memo, the complainant caused to send Ext.P5 lawyer notice dated 29.4.2013 intimating the factum of dishonour of cheque and demanding the amount covered by the cheque. Accused accepted the notice and sent Ext.P7 reply notice raising false contentions. According to PW1, in spite of Ext.P5 notice, accused did not pay the amount covered by Ext.P3 cheque.

10. Admittedly, Ext.P3 is a cheque drawn on a cheque leaf which was issued to the accused from his bank in an account maintained by him with HDFC Bank Ltd. Nadakkavu Branch. The signature in Ext.P3 is also admitted by the accused. Ext.P4 memo would show that Ext.P3 cheque was dishonoured due to insufficient funds in the account of the accused. The accused has no explanation as to how his signed cheque reached at the hands of the complainant. He has no case that his blank signed cheque was CrI.R.P.No.1021 of 2018 7 2025:KER:62225 lost or stolen or misappropriated by the complainant or anybody else which ultimately reached at the hands of the complainant. No such case was canvassed by the accused. In this context it is apposite here to extract his stand in Ext.P7 reply notice.

" My client tells me that at present he is not revealing the manner in which your client managed to have in his possession a cheque belonging to my client and reserves his right to do so during the trial of the legal action your client has threatened to initiate under section 138 of the Negotiable Instruments Act. My client, in this context, would

also be taking necessary steps against your client for the offences that have been committed by your client to obtain the forged instrument and use it thereafter to cheat my client."

11. Though in the reply notice accused has stated that the complainant forged the documents for which he intends to take appropriate action against the complainant, accused has not taken any such steps.

12. It was contended by the learned counsel for the accused that the version of the power of attorney holder is not sufficient to hold that there was due execution of Ext.P3 cheque.

13. It is to be borne in mind that the power of attorney holder of the complainant who is the brother of the complainant has categorically testified that he has direct knowledge about the transaction between the complainant and the accused. The evidence on record would show that the cheque Crl.R.P.No.1021 of 2018 8 2025:KER:62225 earlier issued by the accused was dishonoured for want of sufficient funds in the account of the accused and the complainant lodged a complaint under Section 138 of N.I.Act as C.M.P. No.5036/2012 and during the pendency of the said complaint under Section 138 of N.I Act, accused approached the complainant to settle the matter and the accused agreed to pay a sum of Rs.41 lakhs and issued two cheques drawn on HDFC Bank, Nadakkavu Branch. Ext.P2 agreement executed between the complainant and accused fortifies the case of the complainant that on 31.8.2012 the accused executed the said agreement agreeing to return 41 lakhs to the complainant in full and final settlement of the amounts due to the complainant. In Ext.P2 there is specific mention that out of the said 41 lakhs agreed to be paid by the accused, he issued a cheque for 2 lakhs dated 7.9.2012 and for the balance 39,00,000/- he issued Ext.P3 cheque dated 15.1.2013 drawn on HDFC Bank, Nadakkavu Branch in favour of the complainant and it is in evidence that pursuant to Ext.P2 agreement between the parties, the earlier complaint filed as C.M.P.No.5036/2012 was withdrawn by the complainant. The evidence on record would show that the accused issued Ext.P3 cheque to the complainant in Crl.R.P.No.1021 of 2018 9 2025:KER:62225 discharge of a legally enforceable debt.

14. Section 139 of the NI Act, mandates that unless the contrary is proved, it is to be presumed that the holder of a cheque received the cheque of the nature referred to in Section 138 of the NI Act, for the discharge in whole or in part of any debt or other liability. In view of Section 139, it has to be presumed that a cheque is issued in discharge of any debt or other liability. The presumption under Section 139 of the NI Act, is a rebuttable presumption. However, the onus of proving that the cheque was issued not in discharge of any debt or other liability is on the accused/drawer of the cheque.

15. In Vijay v. Laxman and another (2013(1) KLD

297), the Apex Court held as follows:

".....when a cheque is issued by a person who has signed on the cheque and the complainant reasonably discharges the burden that the cheque had been issued towards a lawful payment, it is for the accused to discharge the burden under S.118

and S.139 of the NI Act that the cheque had not been issued towards discharge of a legal debt but was issued by way of security or any other reason on account of some business transaction or was obtained unlawfully. The purpose of the NI Act is clearly to provide a speedy remedy to curb and to keep check on the economic offence of duping or cheating a person to whom a cheque is issued towards discharge of a debt and if the complainant reasonably discharges the burden that the payment was towards a lawful debt, it is not open for the accused/signatory of the cheque to set up a defence that although the cheque had been signed by him, which had bounced, the same would not constitute an offence."

16. It is a settled position of law that when a cheque as Crl.R.P.No.1021 of 2018 10 2025:KER:62225 well as the signature is admitted by the accused the presumption under Section 139 would operate and the burden is on the accused to disprove the issuance of cheque or to prove the non existence of any legally enforceable debt or liability.

16. In Kalamani Tex and another v.

P.Balasubramanian reported in [(2021) 5 SCC 283], the Hon'ble Supreme Court held that Negotiable Instruments Act mandates that once the signature of an accused on the cheque is established, then these reverse onus clauses become operative and in such situation, the obligation shifts upon the accused to discharge the presumption imposed upon him.

17. Accused failed to rebut the presumption under Section 139 of N.I.Act. On the other hand, the presumption under Section 118(a) and 139 of N.I Act is available to the complainant. Accused has not disputed the execution of Exts.P2 and P8 agreements. Exts.P2 and P8 agreements adds credence to the version of PW1 that accused issued Ext.P3 cheque in discharge of a legally enforceable debt. Therefore, the argument advanced by the learned counsel for the accused that there was no legally enforceable debt is devoid of any merit. Likewise, the contention Crl.R.P.No.1021 of 2018 11 2025:KER:62225 put forward by the learned counsel for the accused that the complainant failed to prove the execution of Ext.P3 cheque is also untenable. Complainant has succeeded in establishing that accused issued Ext.P3 cheque in discharge of his liability.

18. It is in evidence that Ext.P3 cheque issued by the accused was dishonoured due to insufficient funds in the account of the accused. Ext.P5 would show that complainant caused to sent notice to the accused intimating the factum of dishonour of cheque and demanding the amount covered by Ext.P3 cheque. Ext.P6 would show that accused accepted the notice. In spite of receipt of Ext.P5 notice, accused failed to pay the amount covered by Ext.P3 cheque. Accused thereby committed the offence under Section 138 of N.I.Act as rightly found by the learned Magistrate and the learned Sessions Judge and there are absolutely no grounds to unsettle the finding of conviction and sentence against the accused for the offence under Section 138 of N.I.Act

19. The revision petition is devoid of any merit and accordingly, it is dismissed.

20. The learned counsel for the revision petitioner sought six month's time for payment of the fine amount. This revision Crl.R.P.No.1021 of 2018 12 2025:KER:62225 petition is of the year 2018. Six months time sought by the revision petitioner cannot be granted. Anyhow, three months' time is granted to the revision petitioner to remit the fine amount. If he fails to pay the fine amount within the time granted, the trial court shall take steps to execute the sentence.

Registry shall transmit the records to the trial court forthwith.

Sd/-

M.B.SNEHALATHA JUDGE